

US WEEKLY KICKSTART

Equity issuance is a headwind but not a gale

- **Follow-on equity issuance is increasing but represents a return to normal rather than a boom.** US corporates have raised \$105 billion via follow-on offerings YTD through July, the largest total at this point in the year since 2021. However, like IPO activity, follow-on equity issuance this year has been concentrated in a few large deals. Both the number of offerings and the scale of issuance relative to equity market cap are tracking below long-term averages.
- **Financing needs for AI investment suggest equity issuance will continue to increase going forward.** AI-related issuance has accounted for roughly 40% of US equity follow-on volume this year. Consensus estimates imply hyperscaler capex of \$1.1 trillion will exceed operating cash flow by \$150 billion in 2027, before free cash flows turn positive in 2028. While recent earnings reports signal upside risk to estimates for hyperscaler revenues, many investors believe capex will register well above consensus forecasts.
- **Debt markets will likely provide most of the external capital funding the AI boom, but equity capital should also continue to play a role.** Our credit strategists expect the hyperscalers will fund 35% of 2027 capex with debt, equating to global issuance of roughly \$400 billion. Other AI infrastructure firms will likely raise additional capital to fund their investments. For some companies, modest equity raises would help provide a runway for multi-year investment plans while maintaining balance sheet quality and avoiding debt market capacity constraints.
- **Market appetite will help determine the pace of future equity issuance.** Follow-on issuance usually increases in periods of equity market strength. In addition, companies typically issue equity when trading at a valuation premium to the rest of the market, and that pattern has continued YTD. Neither the size of recent offering discounts nor post-offering performance dynamics show any abnormal sign of indigestion.
- **We continue to expect corporate equity demand will outweigh supply in 2026.** S&P 500 buyback growth is tracking +11% year/year in Q2, with new authorizations totaling a record of nearly \$1 trillion YTD. Although the supply-demand balance has shifted in an unfavorable direction for equity investors, we estimate \$1.4 trillion of share repurchases this year will offset both the roughly \$700 billion of primary corporate equity issuance and the large potential supply from expiring post-IPO lockups.

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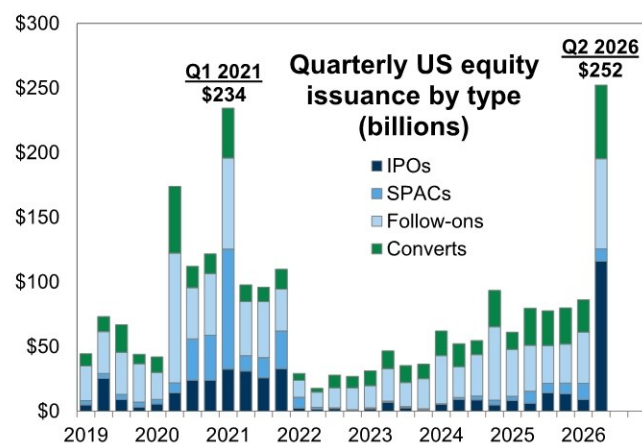
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The outlook for US equity follow-on issuance

Following a record quarter for US equity issuance in Q2, recent investor focus has centered on the increasing volume of follow-on equity offerings. US corporates raised \$252 billion of equity in Q2 through IPOs, follow-ons, converts, and SPACs, eclipsing the previous quarterly record of \$234 billion set in Q1 2021. Follow-on offerings accounted for \$70 billion of the Q2 issuance volume and have totaled \$105 billion YTD through July, excluding non-US companies, ADRs, and offerings smaller than \$25 million. This represents the largest volume of follow-on issuance at this point in the calendar year since 2021.

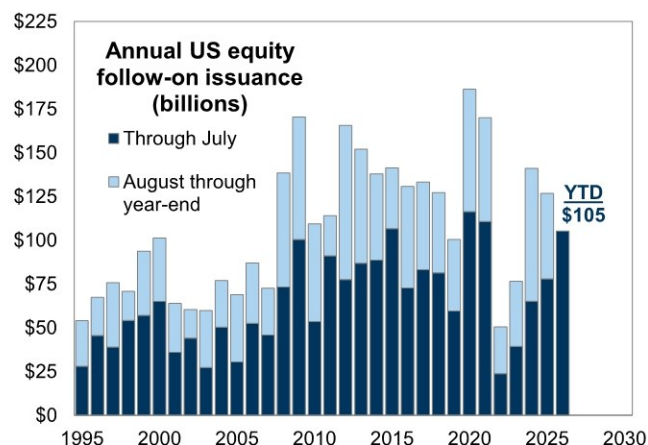
Exhibit 1: US equity issuance registered a record during Q2 2026



Source: Dealogic, Goldman Sachs Global Investment Research

Exhibit 2: 2026 has been a strong year for follow-on offerings so far

US offerings greater than \$25 million



Source: Dealogic, FactSet, Goldman Sachs Global Investment Research

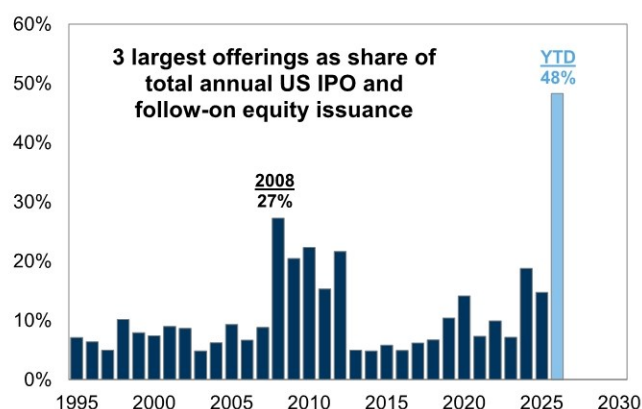
Although the dollar volume of follow-on issuance is near a record level, follow-on activity looks more like a return to normal than a boom. Both the number of offerings and the volume of issuance scaled relative to equity market cap are tracking slightly below historical averages. Issuance in 2026 has been highly concentrated: across IPOs and follow-ons, the three largest offerings have accounted for nearly half the total issuance volume YTD.

Exhibit 3: The number of follow-on offerings YTD is close to the historical average

US offerings greater than \$25 million



Source: Dealogic, FactSet, Goldman Sachs Global Investment Research

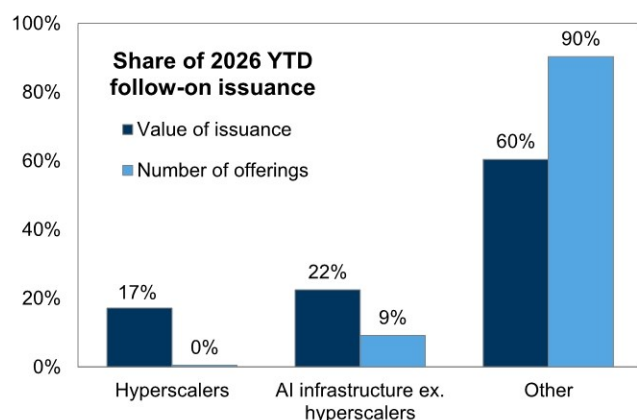
Exhibit 4: US equity issuance this year has been concentrated in a few large deals


Source: Dealogic, FactSet, Goldman Sachs Global Investment Research

AI-related issuance has accounted for about 40% of US equity follow-on volume this year. Health Care is typically the largest sector contributor, and that has remained the case this year. However, TMT has accounted for nearly 30% of YTD follow-on volume, more than double the sector's share of issuance during the past five years.

Exhibit 5: Roughly 40% of YTD follow-on issuance has been AI-related

US offerings greater than \$25 million



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 6: TMT and Health Care have accounted for nearly 60% of YTD follow-on volume

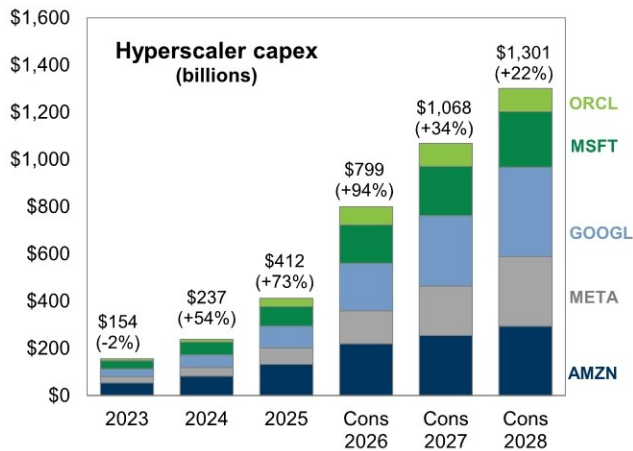
US offerings greater than \$25 million

Sector	Share of US equity follow-on issuance	
	2026	Last 5 years
Health Care	28%	26%
TMT	28	13
Industrials	14	15
Financials & Real Estate	10	23
Utilities	9	4
Energy & Materials	6	7
Consumer	4	12
Total	100%	100%

Source: FactSet, Goldman Sachs Global Investment Research

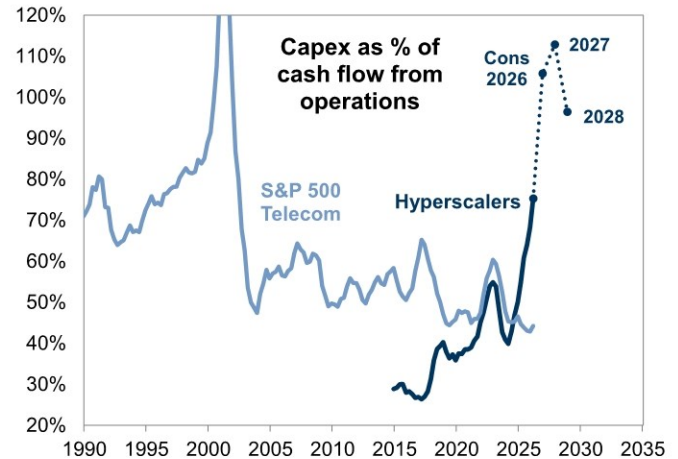
The outlook for AI investment spending suggests an increasing need for external financing in coming years. Consensus estimates show hyperscaler capex exceeding \$1 trillion in each of the next few years, equating to more than 100% of cash flow from operations through 2027. Our recent conversations suggest most equity investors expect that hyperscaler capex spending will exceed consensus estimates and that other companies will also raise capital to support AI investment plans. While debt markets will likely provide most of the external capital funding the AI boom, we expect equity capital will also continue to play a role as companies enact multi-year strategic plans to invest in AI while maintaining the quality of their balance sheets.

Exhibit 7: Consensus estimates show more than \$1 trillion of hyperscaler capex in 2027 and 2028



Source: FactSet, Goldman Sachs Global Investment Research

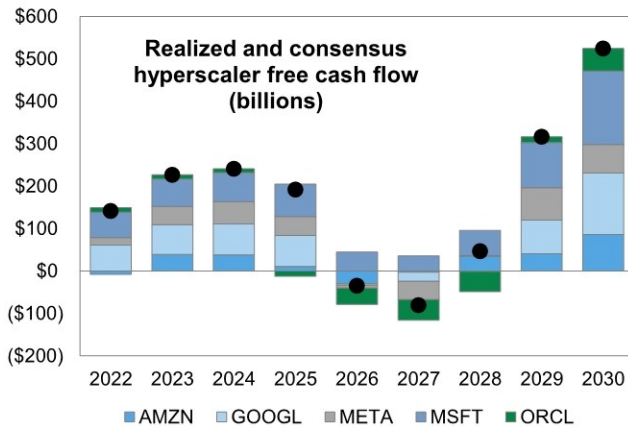
Exhibit 8: Consensus estimates suggest hyperscaler capex will exceed 100% of cash flow from operations through 2027



Source: FactSet, Goldman Sachs Global Investment Research

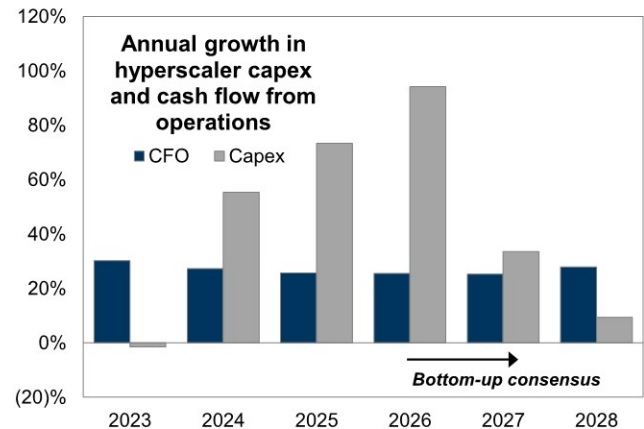
The hyperscalers' financing needs will depend on the pace of capex and cash flow growth, each of which faces upside risk. Consensus forecasts point to a trough in hyperscaler free cash flow in 2027 as capex spending decelerates sharply alongside stable growth in cash flow from operations. Most investors believe those capex estimates are too conservative. However, the hyperscalers' Q2 earnings reports (AMZN, GOOGL, META, MSFT) point to the possibility that revenue and CFO also surprise to the upside if the companies realize the ROI that would justify continued capex growth.

Exhibit 9: Consensus estimates point to negative hyperscaler FCF through 2027 before a rebound in 2028



Source: FactSet, Goldman Sachs Global Investment Research

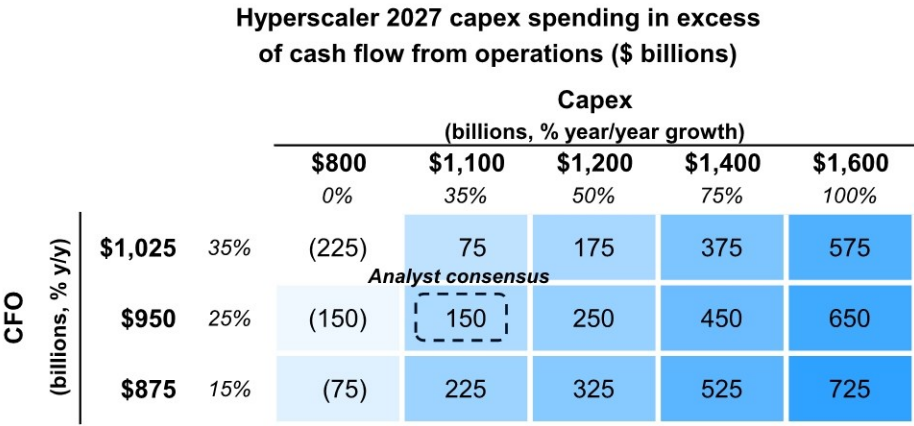
Exhibit 10: Consensus estimates point to a sharp deceleration in capex growth alongside stable CFO growth



Source: FactSet, Goldman Sachs Global Investment Research

Consensus estimates imply hyperscaler capex will exceed operating cash flow by roughly \$150 billion in 2027, but many investors believe the shortfall will be substantially larger. If capex reaches \$1.4 trillion next year, as expected by some investors, the hyperscalers would experience a shortfall of more than \$300 billion even with a substantial acceleration in cash flow growth.

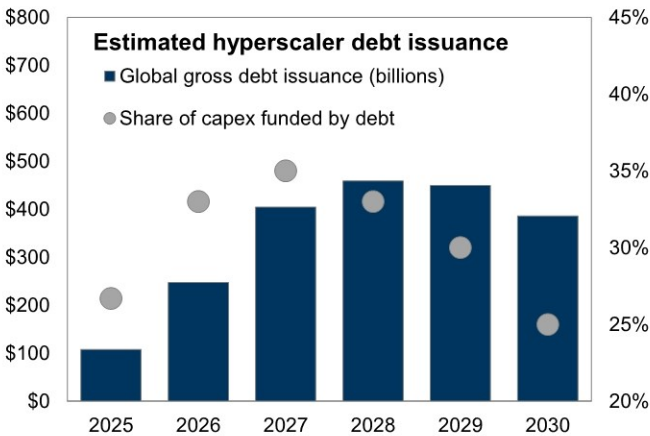
Exhibit 11: Consensus 2027 estimates imply hyperscaler capex will exceed cash flow from operations



Source: FactSet, Goldman Sachs Global Investment Research

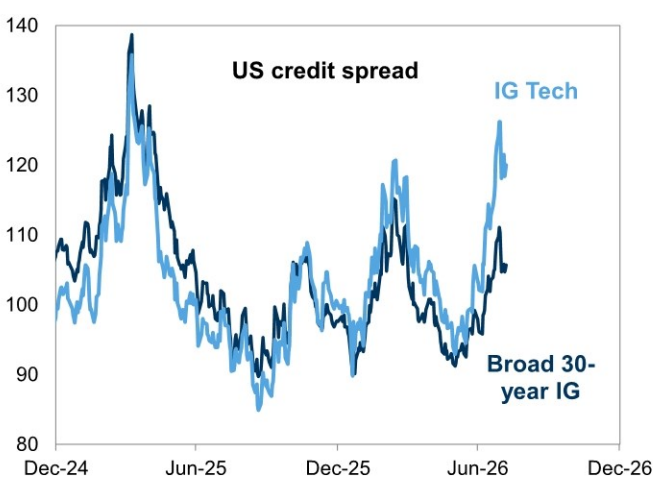
Our credit strategists expect the hyperscalers to fund 35% of capex with debt in 2027. They expect the companies to issue roughly \$400 billion of debt across global markets next year, with a similar magnitude of issuance in each of the subsequent few years. They also expect \$300 billion in project finance issuance in 2027 to fund data centers and chips. Reflecting the increase in supply, US IG credit spreads have widened during the past two months, particularly for AI-related issuers.

Exhibit 12: Goldman Sachs credit strategists expect 35% of 2027 hyperscaler capex will be funded by debt



Source: Goldman Sachs Global Investment Research

Exhibit 13: US IG credit spreads have recently widened, especially in tech

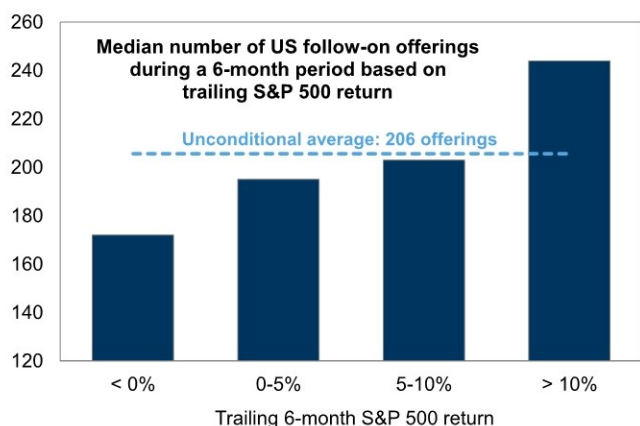


IG Tech basket is not maturity specific. IG Tech (GSIGATTC) and 30Y IG (GSIG30AS) bond baskets created by GBM.

Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

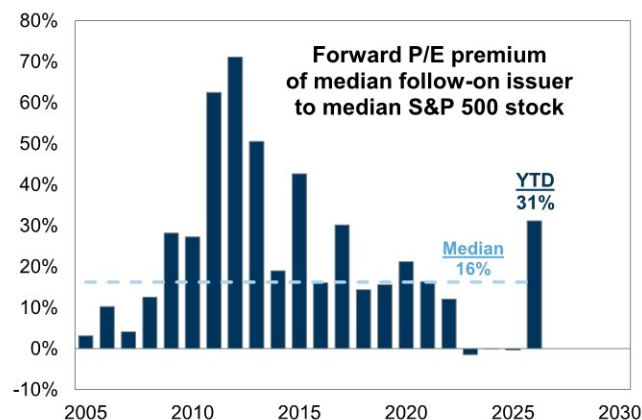
The magnitude of upcoming equity issuance will depend on both AI investment plans and the appetite of equity investors for additional supply. Companies will be more likely to issue equity if their shares are trading well. Historically, the volume of follow-on issuance has been correlated with the recent strength of equity market returns. In addition, companies typically issue follow-on equity when trading at a valuation premium to the rest of the market, and that pattern has continued YTD.

Exhibit 14: Volume of follow-on offerings usually correlates with equity market strength since 1995



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 15: Follow-on issuers typically trade at a valuation premium

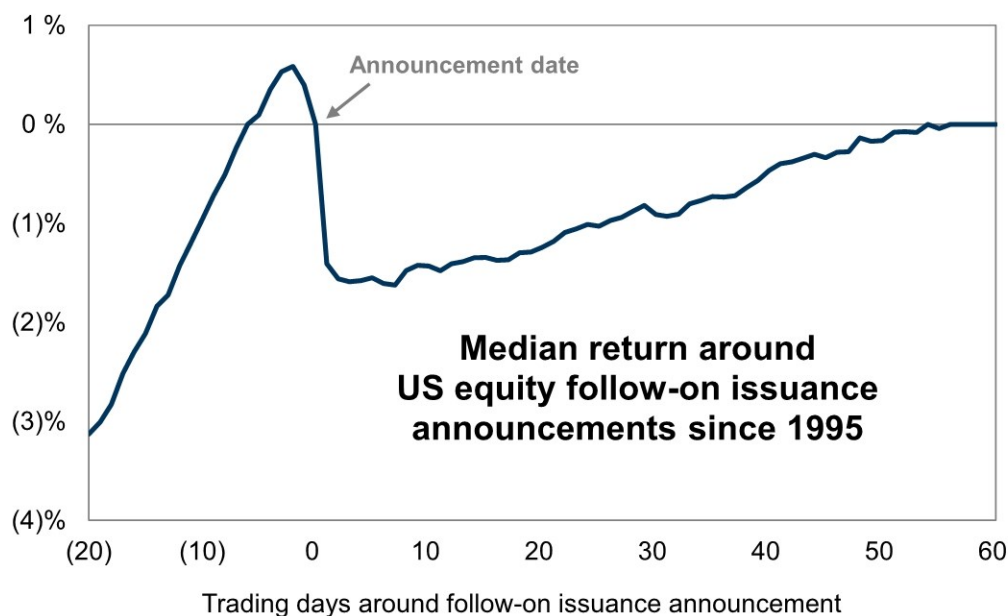


Source: FactSet, Goldman Sachs Global Investment Research

Raising equity capital typically comes at the cost of modestly lower share prices.

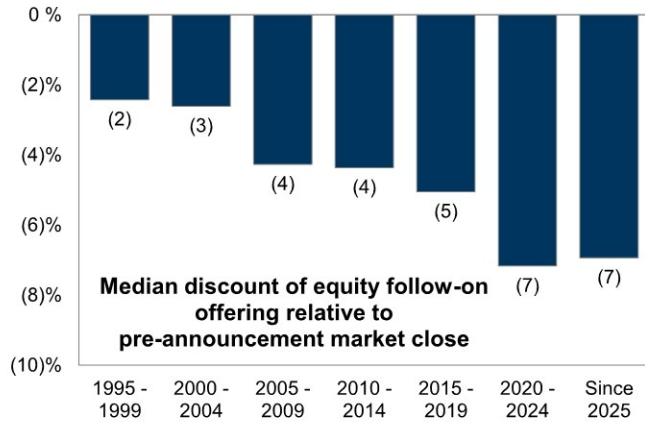
During the past 30 years, the median issuer of follow-on equity has experienced a share price decline of about 2% on the day after announcing an offering. That share price has then gradually recovered in subsequent months.

Exhibit 16: Returns around follow-on announcements

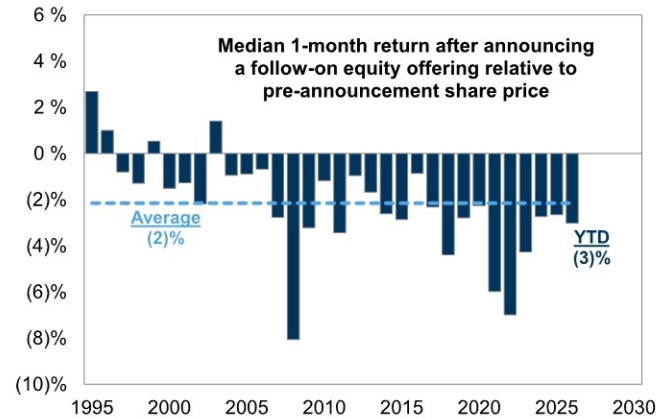


Source: FactSet, Goldman Sachs Global Investment Research

The market reaction to recent follow-on equity offerings has signaled no unusual difficulty with digesting new issuance. The discount of follow-on equity offerings to pre-announcement prices has gradually grown larger in recent decades but has been fairly stable at an average of about 7% during the past few years. Likewise, the share price performance of the median follow-on issuer after their offering has recently been very similar to the long-term average.

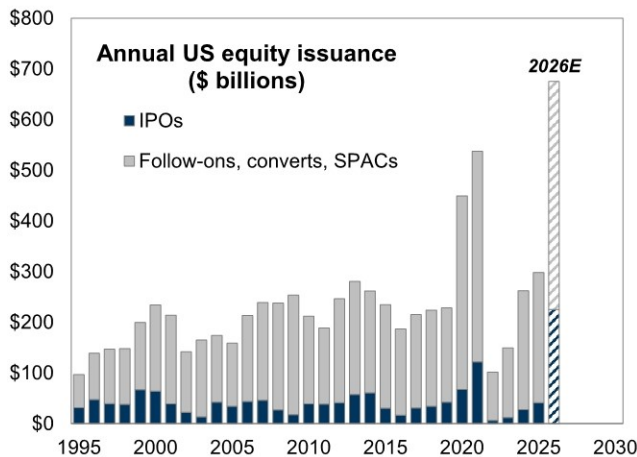
Exhibit 17: The discount of equity follow-on offerings has increased in recent decades

Source: FactSet, Goldman Sachs Global Investment Research

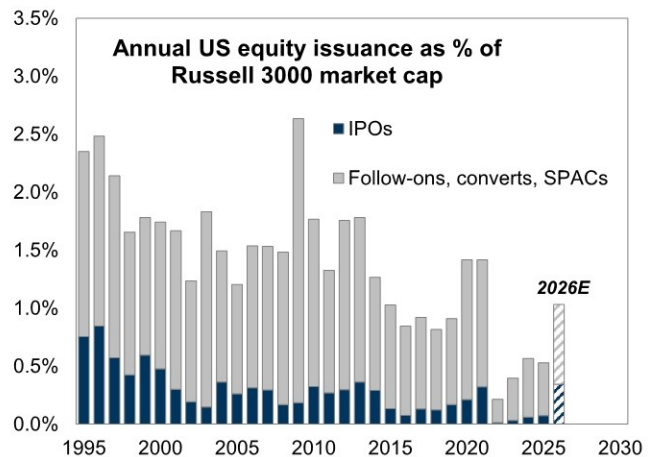
Exhibit 18: 1-month return of companies announcing a follow-on offering

Source: FactSet, Goldman Sachs Global Investment Research

We expect 2026 will be a record year of equity issuance in dollar terms, but supply relative to the size of the equity market will remain low. We estimate roughly \$700 billion of corporate equity supply in 2026, combining IPO volume of slightly more than \$225 billion and other issuance of \$450 billion. This equates to roughly 1% of Russell 3000 market cap in total, similar to average annual issuance from 2015-2019.

Exhibit 19: We forecast roughly \$700 billion of corporate equity issuance this year

Source: Dealogic, Goldman Sachs Global Investment Research

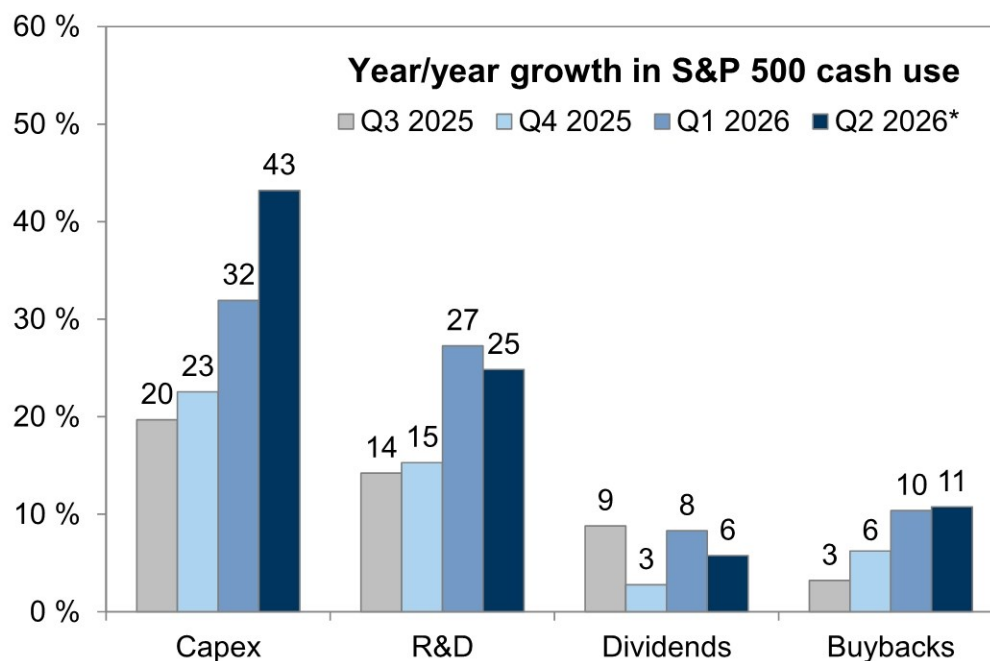
Exhibit 20: Our estimate for 2026 corporate equity issuance would represent roughly 1% of Russell 3000 market cap

Source: Dealogic, Goldman Sachs Global Investment Research

Although equity issuance has increased this year, buybacks have been more resilient than many investors appreciate. S&P 500 buyback growth is tracking at +11% year/year in Q2. Although the hyperscalers have reallocated cash flow from buybacks to capex, other companies including banks and semiconductors have been expanding their repurchase programs. Total US buyback authorizations are running at a record \$989 billion YTD.

Exhibit 21: S&P 500 Q2 buyback growth is tracking at +11% year/year

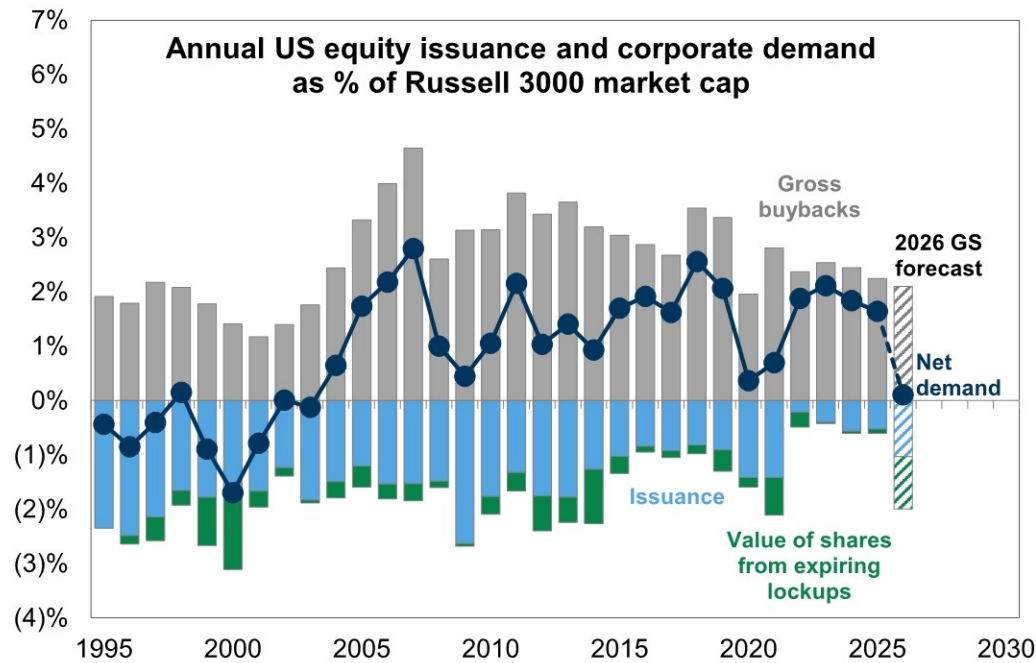
*Q2 spending growth reflects companies that have reported results so far



Source: FactSet, Goldman Sachs Global Investment Research

Despite the increase in US equity issuance, we continue to expect that corporate equity demand will outweigh supply in 2026. We estimate \$1.4 trillion of gross share repurchases across the US public market. This should outweigh both direct corporate equity issuance and the large potential additional supply from expiring post-IPO lockups, even assuming unrealistically that all unlocked shares are immediately sold.

Exhibit 22: We expect corporate buybacks will outweigh US equity issuance this year
net demand implies all shares available after lockups expire are sold



Source: Dealogic, FactSet, Goldman Sachs Global Investment Research

Earnings season summary

Exhibit 23: S&P 500 Q2 2026 earnings results as of August 7, 2026

S&P 500 EQUAL-WEIGHTED												
Number of Companies				EARNINGS						REVENUE		
				Std Dev Surprises			Absolute Surprises			Avg 2Q Surprise	Std Dev Surprises	
Reported	Total	% of Co's	Positive	Negative	In-Line	Positive	Negative	Positive	Negative			
Information Technology	50	73	68%	82 %	2 %	14 %	92 %	6 %	11 %	72 %	2 %	3 %
Health Care	53	59	90	81	0	19	100	0	15	72	4	4
Industrials	79	83	95	72	10	16	85	11	10	67	8	3
Financials	74	76	97	65	7	27	85	12	10	50	18	4
Consumer Discretionary	38	47	81	63	11	26	79	18	24	34	8	1
Consumer Staples	24	34	71	63	0	38	75	25	6	42	8	2
Energy	21	21	100	57	0	43	86	10	13	57	0	9
Communication Services	20	20	100	50	15	35	80	20	22	25	25	1
Materials	24	25	96	46	8	46	71	25	4	38	29	(0)
Real Estate	30	31	97	43	10	47	60	40	18	27	0	5
Utilities	30	31	97	37	20	43	57	40	(1)	13	23	(1)
S&P 500	443	500	89%	64 %	7 %	28 %	82 %	16 %	12 %	51 %	10 %	3 %
Comparative Data (full earnings season)												
1Q 2026				65 %	7 %	28 %	84 %	13 %	13 %	55 %	9 %	2 %
4Q 2025				55	12	33	73	23	11	51	13	2
3Q 2025				66	8	26	82	15	10	52	9	2
2Q 2025				60	9	31	78	17	9	53	7	2

S&P 500 CAP-WEIGHTED												
Weight of Companies				EARNINGS						REVENUE		
				Std Dev Surprises			Absolute Surprises		Avg 2Q Surprise	Std Dev Surprises		Avg 2Q Surprise
Reported	Total	% of Co's	Positive	Negative	In-Line	Positive	Negative	Positive		Negative		
Information Technology	23	38	60%	96 %	1 %	2 %	98 %	2 %	13 %	91 %	1 %	4 %
Health Care	9	9	96	83	0	17	100	0	18	75	1	4
Financials	11	12	88	83	3	13	94	6	16	73	10	7
Industrials	8	9	96	77	13	9	84	13	4	78	4	4
Consumer Discretionary	8	9	86	75	18	7	79	20	111	79	1	4
Communication Services	10	10	100	69	21	10	79	21	128	81	8	2
Energy	3	3	100	53	0	47	68	32	10	35	0	9
Utilities	2	2	97	52	15	33	71	27	2	11	20	(2)
Consumer Staples	3	5	76	49	0	51	65	35	4	65	2	2
Materials	2	2	98	44	3	52	76	20	4	44	26	1
Real Estate	2	2	94	41	7	52	60	40	17	47	0	4
S&P 500	80	100	80%	79 %	7 %	14 %	87 %	12 %	36 %	76 %	5 %	4 %

Source: FactSet, Goldman Sachs Global Investment Research

S&P 500 earnings and return forecasts

Pricing as of August 6, 2026, unless otherwise noted.

Exhibit 24: Goldman Sachs top-down S&P 500 forecasts

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 25: Goldman Sachs and consensus forecasts for S&P 500 earnings and returns

	Goldman Sachs forecast	Bottom-up analyst consensus	Top-down strategist consensus
S&P 500 EPS			
2025	\$275	\$275	\$275
Y/Y growth	12 %	12 %	12 %
2026	\$340	\$362	\$334
Y/Y growth	24 %	32 %	21 %
2027	\$385	\$406	\$386
Y/Y growth	13 %	12 %	16 %
S&P 500 P/E			
Current on NTM EPS	21x	20x	21x
S&P 500 price target			
YE 2026	8000	NA	7975
Return to target	4 %		3 %
12-month	8300	8950	NA
Return to target	8 %	16 %	

Source: Bloomberg, FactSet, Goldman Sachs Global Investment Research

Biggest stock movers this week

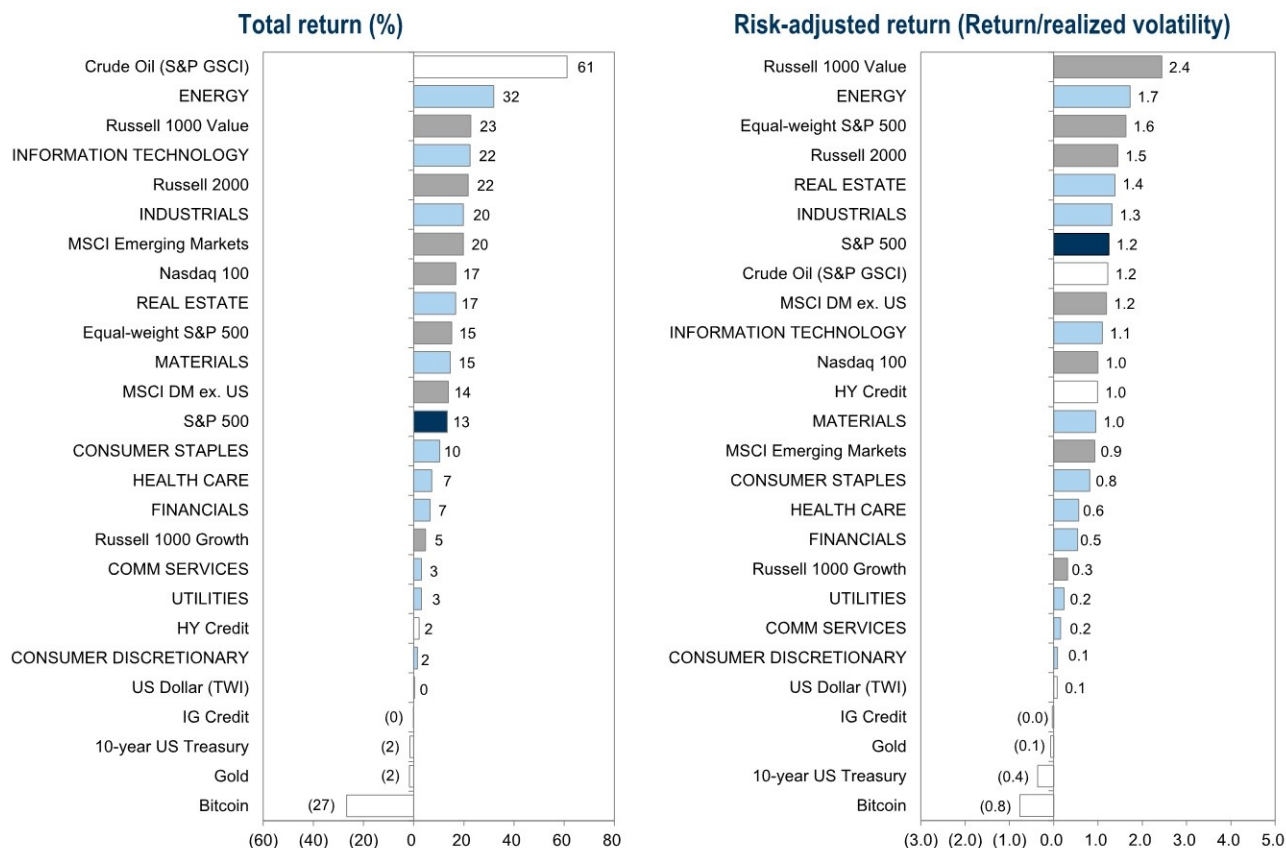
Exhibit 26: S&P 500 stocks with the largest moves this week
as of August 7, 2026

Company	Ticker	Industry group	This week	Total return			Market cap (bn)	Consensus	Fwd 12m
				3m	6m	12m		2026 EPS growth	
Top 10 returns this week									
Coherent Corp.	COHR	Tech Hardware & Equipment	43 %	(22)%	17 %	132 %	\$65	93 %	50x
Palantir Technologies	PLTR	Software & Services	39	(12)	(17)	(23)	375	99	90
Zebra Technologies	ZBRA	Tech Hardware & Equipment	28	28	23	(13)	17	10	18
Lumentum Holdings	LITE	Tech Hardware & Equipment	24	(23)	77	531	65	245	56
Gartner Inc.	IT	Software & Services	22	3	(27)	(56)	12	(4)	12
Newmont Corp.	NEM	Materials	20	(14)	(14)	55	111	31	11
Corning Inc.	GLW	Tech Hardware & Equipment	20	(18)	31	118	135	29	45
First Solar Inc.	FSLR	Semiconductors & Semi Equip	19	2	(9)	15	26	24	12
Leidos Holdings	LDOS	Commercial & Professional Svcs	19	(24)	(40)	(29)	17	1	11
Airbnb Inc.	ABNB	Consumer Services	17	8	18	13	89	23	32
Bottom 10 returns this week									
DaVita Inc.	DVA	Health Care Equipment & Svcs	(24)%	54 %	118 %	65 %	\$12	30 %	11x
Trade Desk Inc.	TTD	Media & Entertainment	(23)	(23)	(40)	(79)	8	1	46
Western Digital	WDC	Tech Hardware & Equipment	(20)	23	113	648	156	108	21
Honeywell Aerospace	HONA	Capital Goods	(20)	NM	NM	NM	50	NM	19
Insulet Corp.	PODD	Health Care Equipment & Svcs	(14)	(4)	(35)	(44)	10	28	21
Texas Pacific Land	TPL	Energy	(14)	(11)	13	21	25	24	38
Aptiv PLC	APTIV	Automobiles & Components	(13)	(4)	(9)	3	10	(23)	8
NRG Energy Inc.	NRG	Utilities	(12)	(14)	(12)	(19)	25	22	11
Chipotle Mexican Grill	CMG	Consumer Services	(12)	13	(1)	(12)	43	(4)	26
AppLovin Corp.	APP	Software & Services	(12)	(10)	(15)	11	113	64	19
Median S&P 500 stock			2 %	4 %	7 %	13 %	\$44	10 %	18x
S&P 500 Index			4	3	8	18	66,573	31	20

Source: FactSet, Goldman Sachs Global Investment Research

YTD absolute and risk-adjusted returns

Exhibit 27: YTD asset returns and return/volatility ratios



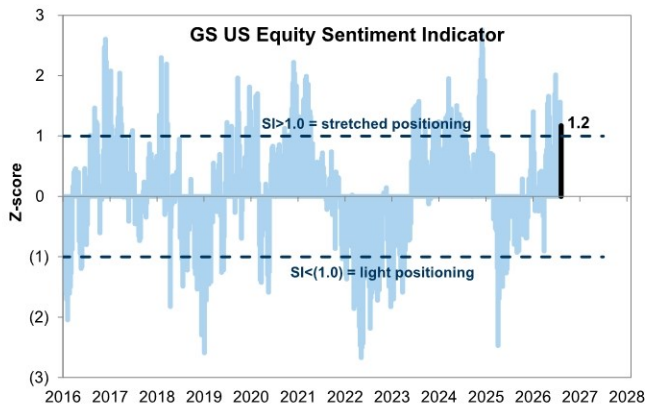
Crude oil represents S&P GSCI Crude Oil Index.

Source: FactSet, Haver Analytics, Goldman Sachs Global Investment Research

Sentiment and flows

Exhibit 28: GS US Equity Sentiment Indicator of investor positioning

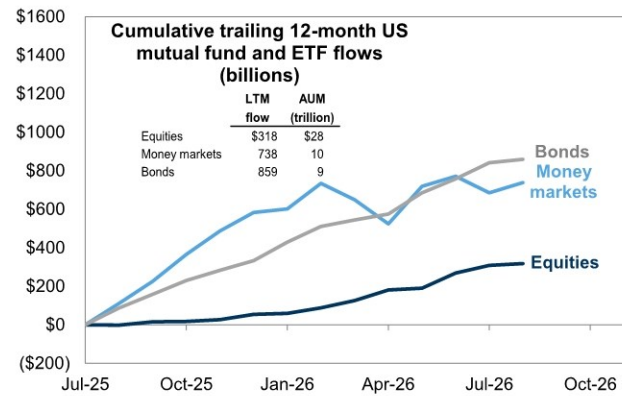
as of August 7, 2026



The Sentiment Indicator combines 9 measures of positioning across institutional, retail, and foreign investors and has historically been a statistically significant signal for near-term S&P 500 returns.

Source: Goldman Sachs Global Investment Research

Exhibit 29: Recent mutual fund and ETF flows



Source: EPFR, Goldman Sachs Global Investment Research

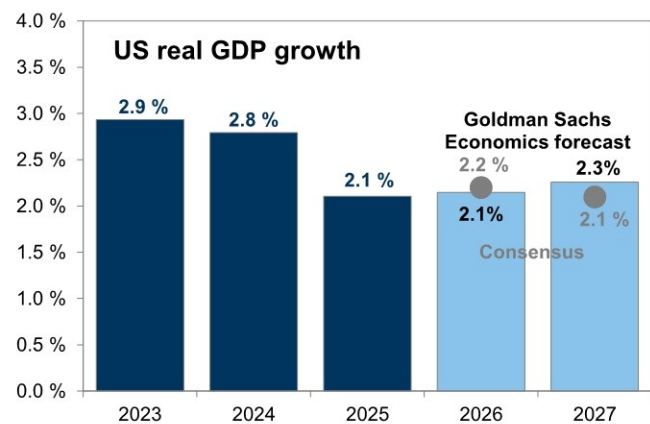
Economic growth

Exhibit 30: US equity market internal pricing of economic growth



Source: Bloomberg, Goldman Sachs Global Investment Research

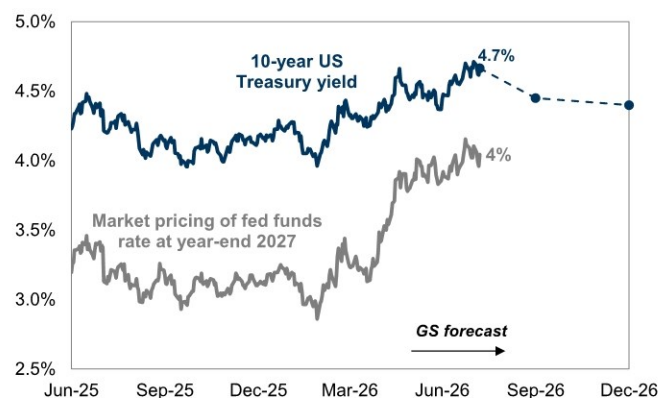
Exhibit 31: Goldman Sachs and consensus forecasts for US real GDP growth



Source: Bloomberg, Goldman Sachs Global Investment Research

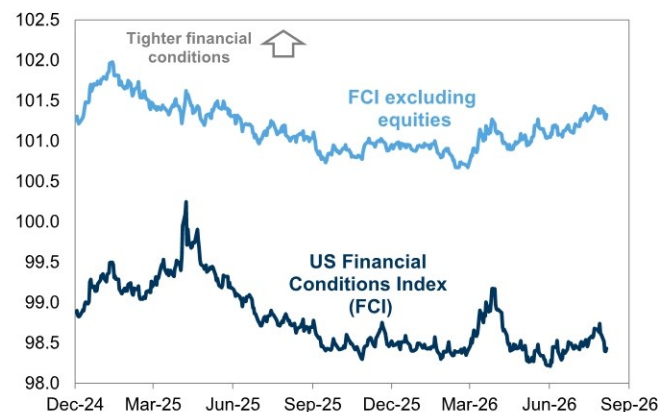
Interest rates and financial conditions

Exhibit 32: Market pricing of near-term and long-term interest rate outlook



Source: Goldman Sachs Global Investment Research

Exhibit 33: Goldman Sachs Financial Conditions Index



Source: Goldman Sachs Global Investment Research

Market breadth and concentration

Exhibit 34: S&P 500 52-week market breadth



Market breadth calculated as the difference between the distance of the aggregate S&P 500 Index from its 52-week high and the distance of the median S&P 500 constituent from its 52-week high. When the aggregate index is much closer to its 52-week high than is the median stock, market breadth is narrow.

Source: Goldman Sachs Global Investment Research

Exhibit 35: Concentration of S&P 500 market cap and earnings in the 10 largest index constituents

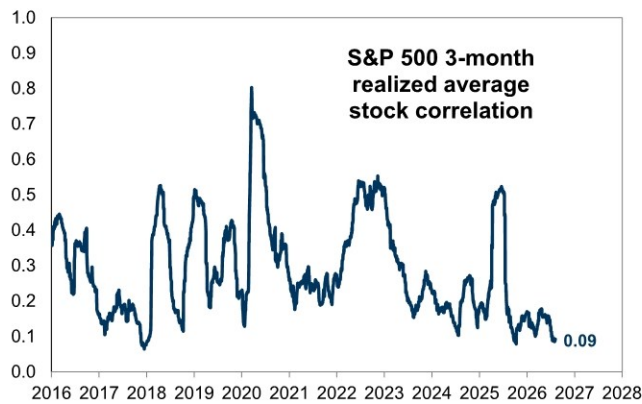


Earnings reflect consensus forward 12-month estimates.

Source: Compustat, IBES, FactSet, Goldman Sachs Global Investment Research

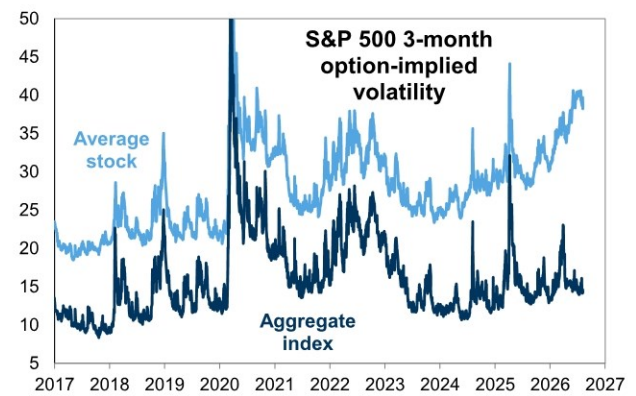
Correlation and volatility

Exhibit 36: S&P 500 realized average stock correlation



Source: Goldman Sachs Global Investment Research

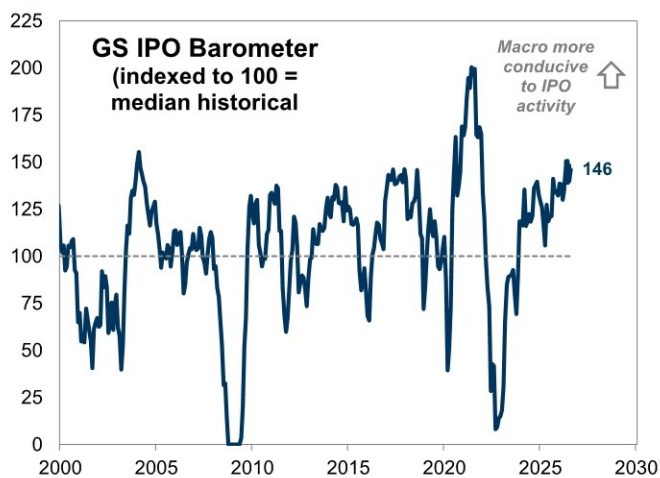
Exhibit 37: S&P 500 implied volatility



Source: Goldman Sachs Global Investment Research

IPO Barometer and mutual fund performance

Exhibit 38: Goldman Sachs IPO Barometer



The Goldman Sachs IPO Barometer combines five indicators that gauge the conduciveness of the macro environment to IPO activity.

Source: Goldman Sachs Global Investment Research

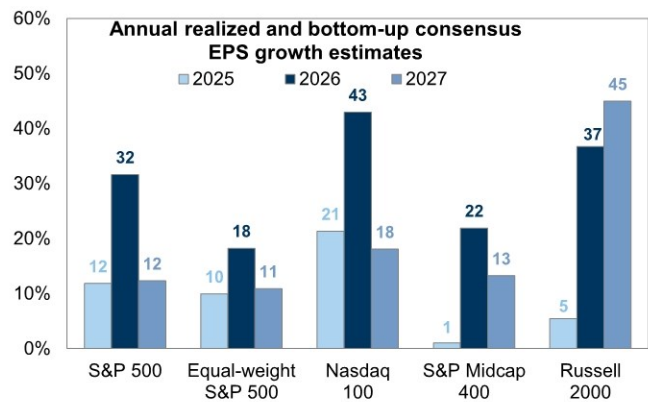
Exhibit 39: US equity mutual fund returns relative to benchmarks

Mutual fund style	Average YTD return	% outperforming benchmarks YTD
Large-cap core	12%	40%
Large-cap growth	9	76
Large-cap value	16	8
Large-cap total	12%	41%
Small-cap core	21%	39%

Source: FactSet, Goldman Sachs Global Investment Research

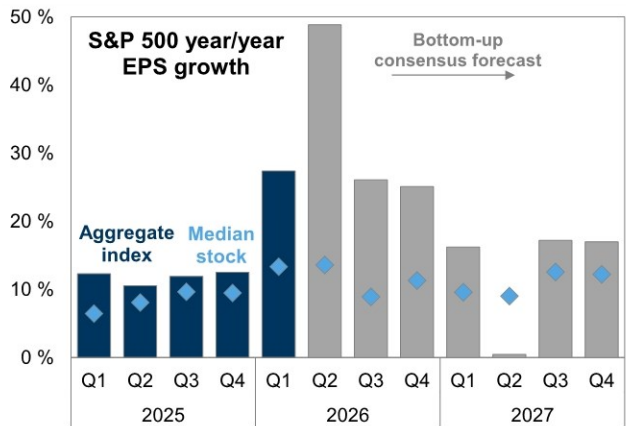
Earnings growth

Exhibit 40: Realized and consensus EPS growth for select US equity indices



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 41: Realized and consensus year/year S&P 500 EPS growth



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 42: S&P 500 FY2 earnings revision breadth

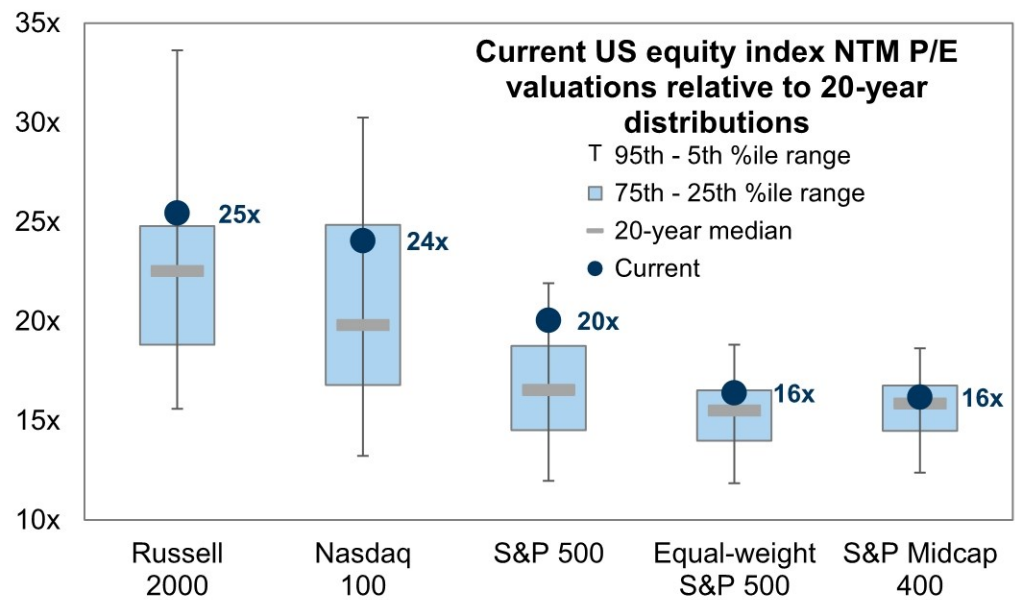


Revision breadth calculated as $[(\# \text{ of companies with positive EPS revisions}) - (\# \text{ of companies with negative revisions})] / (\text{total } \# \text{ of companies})$. Revisions reflect FY2 EPS estimate changes during a rolling 1-month window.

Source: FactSet, Goldman Sachs Global Investment Research

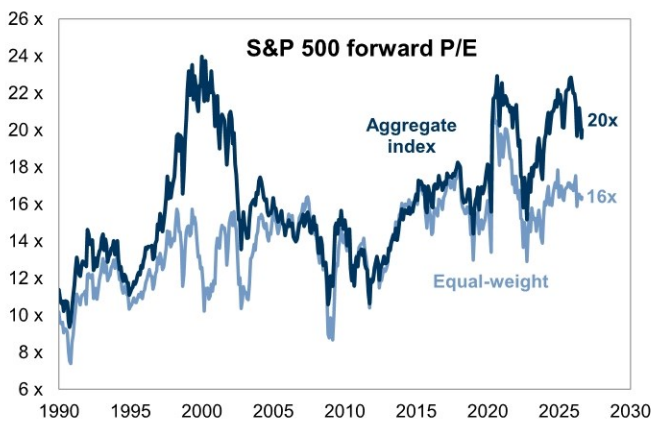
Valuations

Exhibit 43: US equity index P/E valuations vs. history



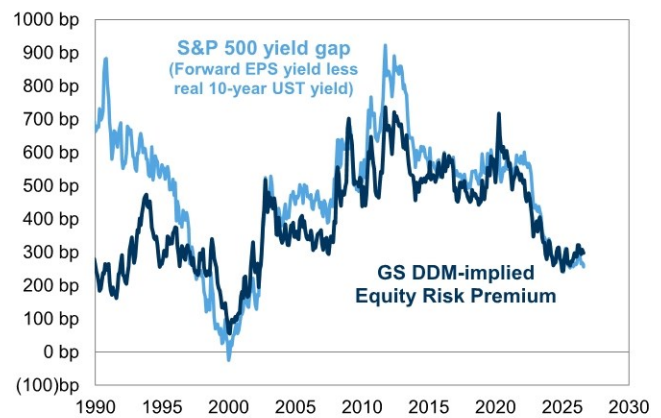
Source: Compustat, FactSet, IBES, Goldman Sachs Global Investment Research

Exhibit 44: S&P 500 consensus forward 12-month P/E



Source: Compustat, FactSet, IBES, Goldman Sachs Global Investment Research

Exhibit 45: S&P 500 valuation relative to US Treasury yields



Equity risk premium calculated by solving for the discount rate that equates the fair value of our multi-stage S&P 500 dividend discount model to the current market price and subtracting the 10-year US Treasury yield.

Source: Goldman Sachs Global Investment Research

Sector returns, earnings, and valuations

Exhibit 46: Sector and industry group returns

			Top quartile						
			Bottom quartile						
S&P 500			Index weight	1 Week	1 Month	3 Months	Last 12 Mo	YTD	GS allocation
			100 %	3.7 %	2 %	5 %	23 %	13 %	
S E C T O R	Consumer Discretionary	9 %	7.6 %	1 %	(2)%	9 %	2 %		OW OW
	Communication Services	10	6.3	(1)	(8)	20	3		
	Information Technology	38	5.3	4	9	33	22		
	Industrials	9	3.6	(0)	5	24	20		
	Financials	12	1.4	3	12	13	7		
	Materials	2	1.2	0	0	19	15		
	Health Care	9	0.6	2	14	28	7		
	Consumer Staples	5	(0.3)	1	(0)	8	10		
	Real Estate	2	(1.2)	1	1	18	17		
	Energy	3	(1.3)	10	3	42	32		
Utilities	2	(2.8)	(4)	(4)	4	3			
I N D U S T R Y G R O U P	Consumer Discretionary Retail	6 %	12.0 %	9 %	0 %	15 %	13 %		
	Software & Services	9	9.7	16	17	(9)	(3)		
	Semiconductors & Semi Equipment	18	8.1	2	4	58	39		
	Media & Entertainment	9	6.6	(2)	(9)	23	3		
	Capital Goods	7	4.3	(1)	4	31	24		
	Telecommunication Services	1	3.0	11	(3)	(5)	3		
	Automobiles & Components	2	2.2	(21)	(17)	4	(26)		
	Household & Personal Products	1	1.8	(0)	3	(1)	7		
	Banks	4	1.7	3	13	31	12		
	Commercial & Professional Svcs	1	1.6	7	12	(14)	(3)		
	Transportation	1	1.6	(0)	6	26	17		
	Financial Services	7	1.4	3	11	6	3		
	Materials	2	1.2	0	0	19	15		
	Consumer Services	2	1.2	4	7	3	3		
	Consumer Durables & Apparel	0	1.1	3	4	(9)	(4)		
	Insurance	2	0.9	3	17	12	10		
	Pharma Biotech & Life Sciences	6	0.7	2	15	41	12		
	Health Care Equipment & Services	3	0.4	1	10	10	(1)		
	Consumer Staples Retail	2	0.1	2	(7)	6	7		
	Real Estate Investment Trusts (REITs)	2	(1.2)	1	1	18	17		
	Energy	3	(1.3)	10	3	42	32		
	Food Beverage & Tobacco	2	(1.6)	1	4	13	15		
	Technology Hardware & Equipment	11	(2.5)	(1)	10	60	29		
	Utilities	2	(2.8)	(4)	(4)	4	3		

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 47: Earnings contributions and growth by S&P 500 sector

Sector	GS top-down					Consensus bottom-up			
	Contribution			EPS growth		Contribution		EPS growth	
	2025	2026	2027	2026	2027	2026	2027	2026	2027
Info Tech	\$70	\$110	\$140	56 %	27 %	\$111	\$147	58 %	32 %
Financials	52	56	61	8	9	58	63	12	8
Comm Services	29	36	38	24	5	45	39	55	(13)
Health Care	33	34	39	2	14	33	40	1	21
Cons Discretionary	23	24	26	7	7	30	29	34	(4)
Industrials	21	23	25	9	9	25	28	15	16
Energy	12	19	17	60	(10)	20	18	73	(10)
Consumer Staples	15	15	16	4	4	15	16	3	7
Utilities	8	8	9	7	6	9	9	14	5
Materials	5	8	8	39	5	7	8	37	11
Real Estate	6	7	7	5	6	7	8	16	6
S&P 500	\$275	\$340	\$385	24 %	13 %	\$362	\$406	32 %	12 %

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 48: S&P 500 sector P/E valuations relative to history

	Consensus forward 12-month P/E valuation				
	Current P/E	Absolute P/E		P/E vs. S&P 500	
		%ile rank vs. history		%ile rank vs. history	
		10-year	30-year	10-year	30-year
Industrials	25x	82%	94%	96%	99%
Consumer Discretionary	24	38	79	17	66
Consumer Staples	22	81	83	58	38
Information Technology	22	53	60	53	42
S&P 500	20	54	75		
Real Estate	18	61	77	41	36
Health Care	18	83	75	64	30
Communication Services	18	23	26	14	4
Materials	18	34	58	25	16
Utilities	17	54	85	64	69
Financials	15	51	74	31	30
Energy	13	35	43	38	19

Source: Compustat, FactSet, IBES, Goldman Sachs Global Investment Research

Thematic baskets

Exhibit 49: Recent performance of select Goldman Sachs Research baskets

basket returns expressed relative to the equal-weight S&P 500 except for long/short basket pairs as noted

			Top quartile Bottom quartile			
	Basket / Index	Ticker (GSTH)	1 Wk	Total returns		
				3 Mo	12 Mo	YTD
	S&P 500	SPX	3.7 %	5 %	23 %	13 %
	Equal-weight S&P 500	SPW	1.5	7	22	15
Macro-economic	Interest Rate Sensitive	USTY	3.8 %	3 %	21 %	16 %
	Dual Beta	BETA	0.8	3	65	37
	High vs. Low Tax Rate	HTAX / LTAX	(1.8)	(3)	1	0
	Low vs. High Labor Cost	LLAB / HLAB	(2.1)	(3)	13	9
Geographic sales	Western Europe Sales	WEUR	2.6 %	(3)%	2 %	1 %
	International Sales	INTL	1.7	(3)	38	23
	US Sales	AINT	1.6	6	(7)	(3)
	EM Sales	BRIC	1.2	(1)	65	40
Fundamental	High Quality	QUAL	1.7 %	(4)%	(14)%	(10)%
	Stable Growers	STGR	1.6	(3)	(18)	(10)
	ROE Growth	GROE	1.3	0	37	29
	High vs. Low Operating Leverage	OPHI / OPLO	0.1	13	(1)	3
	Strong vs. Weak Balance Sheet	SBAL / WBAL	(2.1)	(14)	(28)	(20)
	Long vs. Short Duration	LDUR / SDUR	(4.7)	(6)	(35)	(24)
Uses of cash	High Growth Investment	HGIR	2.8 %	(2)%	27 %	19 %
	Capex and R&D	CAPX	2.4	2	43	26
	Dividend Growth	DIVG	1.0	4	13	5
	Buybacks	REPO	0.0	(0)	1	(1)
	Total Cash Return	CASH	(0.0)	2	9	3
	Debt Reducers vs. Issuers	DRED / DISS	(0.7)	(2)	19	10
Ownership, risk & liquidity	Hedge Fund VIP	HVIP	1.4 %	(8)%	4 %	(2)%
	High Sharpe Ratio	SHRP	(0.1)	(0)	(14)	(10)
	Mutual Fund Over- vs. Underweights	MFOV / MFUW	(2.9)	(2)	(22)	(18)
	Low vs. High Liquidity	LLIQ / HLIQ	(4.2)	(6)	(10)	(9)
Equity research	Gov't Exposure	GSRHGOVT	3.4 %	1 %	12 %	(0)%
	Oil Input Cost	GSRHOILX	1.2	2	(1)	3
	SMB Exposure	GSRHSMBX	(0.5)	(0)	(18)	(10)
	M&A Candidates	GSRHACQN	(0.9)	12	29	5

Basket returns and constituents can be accessed via GS Marquee or Bloomberg using the indicated tickers.

Source: Goldman Sachs Global Investment Research

Factors

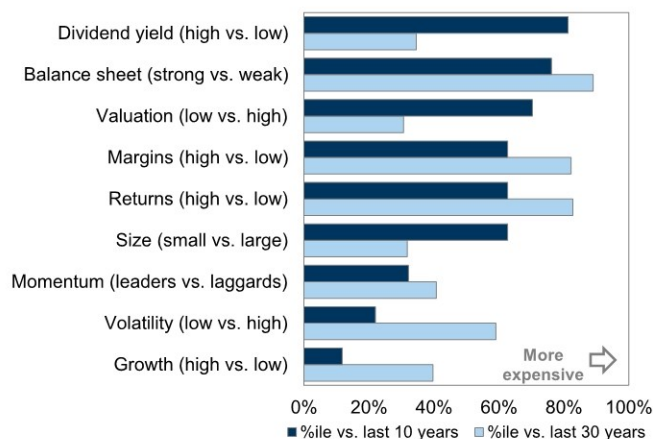
Exhibit 50: Indexed return of select equity factors



Factor performance and constituents can be viewed on GS Marquee or Bloomberg using the tickers indicated on the chart.

Source: Goldman Sachs Global Investment Research

Exhibit 51: Equity factor valuations relative to history



Source: Goldman Sachs Global Investment Research

Goldman Sachs global macro research cross-asset forecasts

Exhibit 52: Goldman Sachs macro research asset forecasts

Goldman Sachs Global Macro Forecasts

	units	Current	3m	6m	12m	Change to 12m target
Equities						
MXAPJ	level	860	980	1030	1080	26 %
TOPIX	level	4056	4200	4300	4500	11
S&P 500	level	7710	7600	8000	8300	8
STOXX Europe 600	level	658	640	645	660	0
10-year rates						
Euro Area (Germany)	%	2.5	3.0	3.0	3.0	55 bp
US	%	4.7	4.5	4.4	4.3	(37)
Japan	%	2.8	2.5	2.5	2.4	(37)
Corporate bonds						
High yield	bp	263	305	295	280	17 bp
Investment grade	bp	78	85	82	78	0
Currencies						
US dollar / Yen	\$/¥	158	162	163	165	4 %
Euro / US dollar	EUR/\$	1.15	1.14	1.12	1.12	(3)
Sterling / US dollar	£/\$	1.35	1.33	1.29	1.28	(5)
Commodities						
NYMEX nat. gas	\$/mmBtu	3	3.50	3.50	3.50	33 %
COMEX gold	\$/troy oz	4300	4690	4900	5115	19
LME copper	\$/mt	14455	13620	13735	13800	(5)
Brent crude oil	\$/bbl	82	81	79	74	(10)

Source: FactSet, Goldman Sachs Global Investment Research

Disclosure Appendix

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